# Risk Disclaimer & Investment Risk Disclosure

🚫 **Important — Please read carefully before depositing funds.** The information on this Platform does not constitute financial, investment, legal, or tax advice. Depositing funds into WellexVault involves significant risk, including the possible loss of your entire deposit. You should not invest money you cannot afford to lose.

## 1. NO GUARANTEE OF RETURNS

The yield figures displayed — including WVI-based tiers of 0% to 20% per month — are **target yields**, not guaranteed returns. Actual yields may be lower than target, zero (0%) during adverse market conditions, or negative in extreme circumstances involving smart contract failures. Past performance of DeFi protocols is not indicative of future results.

## 2. DEFI PROTOCOL RISKS

### 2.1 Smart Contract Risk

Deposits are deployed across DeFi protocols (Aave v3, Compound, Morpho, Ondo, Maple, Ribbon, Stryke, and others). Smart contracts may contain undiscovered vulnerabilities, logic errors, or oracle manipulation vectors. Despite regular third-party audits, no smart contract is completely risk-free.

### 2.2 Liquidity Risk

DeFi protocols may experience periods of reduced liquidity, resulting in delayed withdrawals or higher withdrawal fees.

### 2.3 Protocol Governance Risk

Third-party DeFi protocols are governed by their respective DAOs. Governance decisions may adversely affect yield rates, fees, or asset availability. The Company does not control third-party protocol governance.

## 3. CRYPTOCURRENCY AND STABLECOIN RISK

- **Stablecoin de-peg risk:** USDC and USDT are designed to maintain a 1:1 USD peg. Historical de-pegging events demonstrate this is not guaranteed.
- **Regulatory risk:** Regulatory actions against stablecoins or DeFi could restrict access to funds.
- **Key loss:** Loss of access to your cryptocurrency wallet means permanent, irrecoverable loss of on-chain assets.
- **Exchange rate risk:** If your home currency is not USD, exchange rate fluctuations add an additional layer of risk.

## 4. PLATFORM AND OPERATIONAL RISKS

- Technology risk: Platform outages, cyber attacks, or technical failures;
- Algorithm risk: AI Yield Engine or WVI algorithm errors;
- Counterparty risk: No government guarantee scheme (such as FSCS) covers DeFi deposits;
- Concentration risk: Adverse events may affect multiple DeFi strategies simultaneously.

## 5. REGULATORY RISK

The regulatory landscape for DeFi and digital assets is rapidly evolving globally. Changes in law may require Platform modification or

cessation in certain jurisdictions, result in asset freezing by regulatory authorities, or impose new taxation requirements on your returns.

> ⚠You are solely responsible for understanding and complying with the tax and regulatory requirements applicable to your DeFi yield earnings in your jurisdiction.

## 6. WVI AND BIOMETRIC RISK

Your yield tier is determined by WVI. Illness, injury, or lifestyle changes may reduce your WVI and consequently your yield tier. The WVI algorithm may be updated, potentially affecting your score. Device malfunction or sensor inaccuracy may also affect WVI calculations.

## 7. INSURANCE LIMITATIONS

The Deposit Insurance Certificate (administered by W Denis Insurance Brokers International Ltd) provides protection for deposited principal and the 15% per annum guaranteed return. It does not cover losses arising from user error, loss of wallet access, phishing attacks on the user, or actions in violation of the Terms of Service.

## 8. ACKNOWLEDGEMENT

By depositing funds on the Wellex Platform, you acknowledge that you have read and understood this Risk Disclaimer in full; you may lose part or all of your deposit; you are investing only funds you can afford to lose; and you are making this decision of your own free will.

> **Questions? Contact:**
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